

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-09

TZ SSE Buyer, LLC, Complainant v. COSCO Shipping Lines Co., LTD, Respondent

**COMPLAINANT TZ SSE BUYER, LLC'S
SUPPLEMENTAL BRIEF
(Public Version)**

Pursuant to the Presiding Officer’s directive during the July 2, 2025 status conference and his July 8, 2025 Order following the status conference, Complainant TZ SSE Buyer, LLC (“Complainant”) respectfully submits this Supplemental Opening Brief concerning Respondent COSCO Shipping Lines Co., Ltd.’s (“Respondent”) failure to comply with its discovery obligations relating to demurrage invoices, waiver documentation, and applicable demurrage and detention charge policies during 2021–2022. This supplemental briefing supports Complainant’s request for adverse inferences under 46 C.F.R. § 502.150 and the authorities cited in Complainant’s Opening Brief (pp. 6–12) and Proposed Findings of Fact (¶¶ 50–59).¹

I. Respondent Failed to Comply with the Former Presiding Officer’s May 15 Discovery Order.

On May 15, 2025, the former Presiding Officer partially granted Complainant’s Motion to Compel, directing Respondent to produce, among other things: (1) all invoices, payment records, identification of the specific person or entity who paid Respondent for the Charges, and related records—including any waivers granted—concerning the Relevant Containers and Charges; and (2) all applicable demurrage and detention policies in effect during 2021–2022. **See CPFF ¶ 51.**

Despite this clear directive, Respondent failed to fully comply with the May 15 Order. It did not produce any internal demurrage or detention policies for the relevant period of 2021–2022. Instead, Respondent produced **publicly available tariffs filed with the FMC**, including versions with effective dates in 2024—well outside the timeframe at issue.

Respondent also failed to produce numerous demurrage invoices and related shipping records corresponding to the Charges listed in Complainant’s Damages Spreadsheet. In addition,

¹ For clarity and to avoid repetition, all capitalized terms used in this Supplemental Brief shall have the same meanings as set forth in Complainant’s Opening Brief (“Opening Brief”) and Proposed Findings of Fact (“CPFF”). Except for the new exhibits submitted with this Supplemental Brief, all other cited exhibits refer to the exhibits and Appendix previously submitted in support of Complainant’s Opening Brief and CPFF.

although Respondent acknowledges that certain Charges were partially waived, it did not produce the underlying documentation explaining the basis for those waivers, such as communications, review criteria, or internal approval records.

Following the Presiding Officer's July 8, 2025 Order, Respondent made a supplemental production on July 10th, nearly a month after Complainant had filed its Opening Brief and Proposed Findings of Fact. This production included some demurrage and detention tariffs from 2019, 2020, and 2022, but none from 2021. Even then, the production remains incomplete, internally inconsistent, and in several respects only confirms the discovery violations previously identified by Complainant. As discussed below, Respondent's continued noncompliance warrants appropriate adverse inferences.

II. COSCO's Explanation That "Terminals Collected the Charges" Is Unsupported and Contradictory.

During the July 2, 2025 status conference, Respondent addressed the containers identified in Paragraph 53 of Complainant's Proposed Findings of Fact and on pages 9–10 of Complainant's Opening Brief. With respect to these containers, Respondent asserted that some of the invoices and shipping records Complainant identified as missing had already been produced during discovery. Respondent also claimed that, for certain containers, it could not locate any responsive invoices or shipping records. For the remaining containers, Respondent contended that such records were unavailable because the Charges were either assessed and collected directly by the terminals or were collected by Respondent on the terminals' behalf.

In its July 10, 2025 supplemental production, Respondent provided a document referencing these containers, with annotations in red indicating whether an invoice or related shipping record had been produced during discovery or whether the Charges were allegedly assessed by terminals for which Respondent claims it holds no records. **See Exhibit 20.**

However, this explanation, and the accompanying July 10 production, is both incomplete and factually inaccurate. It is directly contradicted by Respondent's own earlier discovery production, including a spreadsheet that Respondent created and produced, which contains detailed demurrage charge information for the very containers for which Respondent now claims it has no documentation or records. **See Exhibit 12.**

First, the spreadsheet originally produced by Respondent during discovery, which reflects the demurrage Charges identified in Complainant's Amended Damages Spreadsheet, clearly relied on underlying records. It is not plausible that Respondent could have compiled such detailed charge data without access to source documentation. One of the columns in the spreadsheet, labeled "COSCO DEM," indicates whether Respondent located a demurrage charge in its own records for each container and lists the corresponding amount—sometimes matching the figures in Complainant's Amended Damages Spreadsheet and other times differing. *Id.* Another column reflects the amount Laufer paid in connection with those same Charges. *Id.* This directly undermines Respondent's claim that it lacked invoices and related shipping records for these containers. If Respondent had no documentation, how did it generate this level of detail? The spreadsheet itself confirms that Respondent maintained internal records regarding the very demurrage Charges it now disclaims.

Second, for the containers Respondent now claims involved terminal demurrage—and seeks to disclaim responsibility for—their own previously produced spreadsheet tells a different story. A column labeled "Notes/Remarks," states for nearly every container at issue (with one exception) that the terminal collected the demurrage charge **on behalf of Respondent**. *Id.* This contradicts Respondent's current position that the charges were assessed independently by the terminals. Among the affected containers are:

- OOCU4895332; TCNU4624823; CSNU8445918; CBHU7040603; TCNU3854734; DFSU2974775; CBHU7002075; OOLU7704776; UETU5691967; TCNU4026668; TLLU5733877; CBHU8798835; TRLU7625276; BMOU5513517; FCIU9669147; TRHU5515395; CCLU4780205; FFAU3448075; CSNU6235240; CSNU6356961; SEGU5366408; CBHU9441919; TEMU7879134; CBHU6277740; OOLU9389539; TTNU4875462; CSNU6304660; CBHU9596490; SEGU6878883; TLLU4155780; CCLU5299724; FFAU2781667; CAIU8833704; CSNU6248210; CAAU6151446; TRHU8745350; GCXU5479007; TGCU5060613; CSNU6206160; OOLU4531661; CCLU4905489; CSNU7762883; FSCU8621528; CSLU6187611; TLLU5730590; FSCU5006952; OOCU7986354; CSNU7050507; CSLU6056484; TCKU6138127; CAAU6113744; TGBU8561620; CCLU6935820; FSCU8983975; CBHU6439034; DFSU6090432; DFSU6087948; CBHU8653277; CCLU5218872; CBHU9075194; OOLU4449785; OOCU7045543; TCNU5145949; CSNU1179122; AMLU4054410; TGBU4097661; MAGU5602324

This interpretation is further reinforced by the deposition testimony of Respondent’s corporate representative, Mr. Tom Takase, who explained: “So the COSCO tariff, the demurrage rate includes the terminal’s own demurrage or storage tariff to COSCO per our agreement for storage rates that are ... against each container, and then in addition, the balance of that charge on our end is for the container usage. So that combined is our import demurrage rate.” **Exhibit 2, CX_001363**. In other words, Mr. Takase confirmed that Respondent’s demurrage charges were comprised of both a terminal portion and a COSCO portion. *See id.* Yet, despite this testimony and the plain language of its own spreadsheet, Respondent has failed to produce a single supporting document—whether an invoice, internal record, or transaction history—for these containers it now attributes solely to terminal charges.

Third, during the July 2, 2025 status conference, Respondent represented that it had already produced many of the invoices or related documents that Complainant identified as missing for the containers listed in Paragraph 53 of Complainant’s Proposed Findings of Fact and on pages 9–10 of Complainant’s Opening Brief. However, both filings make clear that the missing records pertain specifically to **demurrage** invoices and related shipping documentation. The document Respondent submitted as part of its July 10 supplemental production confirms that it produced

only **detention** (or per diem) invoices and associated shipping records for some of those containers—not the demurrage invoices and related documentation that Complainant has consistently identified as missing. **See Exhibit 20.**

For reference, the containers for which Respondent claimed to have produced responsive invoices and shipping records, but which in fact relate only to detention or per diem charges, not the requested demurrage invoices and associated documentation, include:

- CCLU5189413; CSNU7738125; TGHU6930932; CSNU1318980; FSCU8027429; CSNU7612667; OOCU7675753; UETU5366777; CCLU4979835; TGHU6568309; CSNU7367620; TGBU8885492; CSNU7785488; CSNU6608955; CCLU4995498; OOCU8333694; BSIU9552230

Far from rebutting Complainant's position, Respondent's own production confirms that the relevant demurrage invoices and related shipping records remain unproduced. *Id.*

Fourth, and finally, with respect to container CCLU7255915, Respondent admits it is unable to locate any invoice.

These contradictions, combined with Respondent's failure to produce relevant demurrage invoices and related shipping records, undermine Respondent's credibility on this issue and support the following adverse inferences: (1) The missing documentation would have corroborated Complainant's position that returning containers within the allotted free time was infeasible due to widespread port congestion and equipment shortages; (2) The missing documentation would have revealed that Respondent failed to provide a clear process for disputing the Charges, including the absence of contact information, dispute deadlines, or evidentiary requirements; (3) Laufer, on behalf of Impact Products/Safety Zone, attempted to dispute and request waiver of these Charges despite the lack of a clear process; and (4) Respondent did not maintain or follow consistent procedures for reviewing and resolving disputes related to the Charges at issue.

III. Respondent Provided No Documentation to Support Certain Waiver Decisions.

Respondent has also failed to comply with the former Presiding Officer's May 15 Order by not producing documentation underlying its waiver of certain Charges. During discovery, Respondent produced a spreadsheet listing specific containers and identifying certain Charges as partially waived, including containers CSNU7785488, CSNU6608955, BSIU9552230, and BMOU4494813. **Exhibit 13.** In response, Complainant requested the shipping records or internal communications that formed the basis for those partial waiver decisions. **Exhibit 14.**

Respondent subsequently produced only two responsive documents—detention invoices reflecting partial waivers for containers CSNU7785488 and CSNU6608955—but failed to provide any documentation explaining the rationale for those waivers. *See id.* No responsive documents were produced at all for containers BSIU9552230 and BMOU4494813. *See id.* The spreadsheet includes a column labeled “Requested Waiver Amount,” suggesting that Respondent conducted some internal review or received a waiver request before granting partial relief. **Exhibit 13.** Yet no related correspondence, internal approvals, or other supporting shipping records have been produced. Detention invoices alone cannot explain the decisions reflected in the spreadsheet.

As part of its July 10 production, Respondent did not produce any additional documents responsive to these partial waivers. *See* **Exhibit 20.** The continued absence of supporting documentation prevents meaningful scrutiny of Respondent's waiver process and underscores the lack of a clear or consistent method for evaluating such requests. This concern is amplified by the fact that the four affected containers were subject to multiple Charges—including demurrage, detention, per diem, and yard storage. Yet for these containers, Respondent waived only a portion of the Charges, typically detention, while declining to waive others, such as demurrage or yard storage, without providing any explanation. This selective waiver pattern, combined with Respondent's failure to produce supporting records, warrants an adverse inference: that Laufer, on

behalf of Impact Products and Safety Zone, did request waiver of **all** Charges associated with these four containers, and that Respondent arbitrarily, unjustly and unreasonably denied those requests in part, without a clear process or justification.

Lastly, while the Presiding Officer indicated that the missing waiver documentation may not directly impact his analysis of other Charges listed in Complainant's Amended Damages Spreadsheet, it nonetheless supports Complainant's request for adverse inferences. Specifically, the absence of waiver documentation reinforces that Respondent's waiver process was opaque, irregular, and inconsistently applied. It further supports inferences that: (1) Impact Products and Safety Zone, through Laufer, did dispute many of the Charges at issue; (2) Respondent lacked a clear or accessible process for submitting and evaluating such disputes—including the absence of contact information, deadlines, or evidentiary requirements; and (3) Respondent failed to maintain or follow consistent procedures for resolving waiver requests, particularly in the context of widespread port congestion and equipment shortages that made timely container returns infeasible.

IV. Respondent's Tariffs Reveal a Lack of Dispute Procedures in 2021 and Early 2022, and Respondent Failed to Produce Internal Demurrage and Detention Policies.

The only new documents Respondent produced in its July 10, 2025 production were demurrage and detention tariffs, with effective dates for demurrage ranging from March 2020 to September 2022, and for detention from October 2019 to October 2022. Notably, Respondent produced no demurrage or detention tariffs for the year 2021. **See Exhibit 21.** Although Respondent characterizes these tariffs as responsive, they appear to be public filings with the Federal Maritime Commission, intended for customer reference. They are not the internal policies that Complainant requested, and that the former Presiding Officer expressly ordered Respondent to produce. See May 15, 2025 Order (Doc. No. 51), p. 7.

Among the demurrage tariffs Respondent did produce, none prior to August 2022 included any information on how customers could dispute demurrage charges—including who to contact, applicable deadlines, required evidence, or criteria for granting waivers or reductions. *See id.* Similarly, based on the documents provided, Respondent’s detention tariffs from October 2019 through September 2022 also lacked any guidance on how to dispute detention charges. *See id.*

Beginning in August 2022, Respondent added a new Section 9 to its demurrage tariffs titled “Dispute on Demurrage in the United States,” which included basic instructions for submitting a dispute. *Id.* Similarly, in October 2022, Respondent added a new Section F to its detention tariffs, titled “Disputes on Detention (Per Diem) Charge at US Destination.” *Id.* While these sections provide general guidance on how to submit a demurrage and detention dispute, they still fail to identify what Respondent considers valid grounds for a waiver, what types of evidence are deemed acceptable or insufficient, or how waiver decisions are evaluated internally. That is precisely the information Complainant has repeatedly requested, and which the Presiding Officer previously ordered Respondent to produce.

These facts support drawing the following adverse inferences. First, that during all of 2021, and until at least July 2022 for demurrage and September 2022 for detention, Respondent had no procedures in place for customers to dispute demurrage, detention, or per diem charges. As a result, customers—including Impact Products, Safety Zone, and their intermediary, Laufer—were left without meaningful guidance or recourse to challenge such charges, even amid the widespread port congestion and equipment shortages that defined this period.

Second, that during the same timeframe, Respondent lacked internal policies governing how it evaluated requests for waivers or reductions of demurrage, detention, or per diem charges. Specifically, Respondent had no documented standards for what evidence it considered sufficient,

what factors it evaluated, or what timelines it applied in reviewing such requests. This lack of process further supports the conclusion that Respondent's internal approach to evaluating waiver or reduction requests was unjust, unreasonable, arbitrary, opaque, and inconsistently applied.

V. Conclusion

For the foregoing reasons, and based on the legal authorities, factual record, and arguments set forth in Complainant's Opening Brief and Proposed Findings of Fact, Complainant respectfully submits that the adverse inferences identified above are warranted against Respondent.

Dated: June 18, 2025

Respectfully submitted,

CLARK HILL PLC

/s/ Timothy R. Herman

Timothy R. Herman

R. Kevin Williams

Michell Pacheco Soto

therman@clarkhill.com

kwilliams@clarkhill.com

mpacheco@clarkhill.com

130 E. Randolph Street, Suite 3900

Chicago, IL 60601

Counsel for Complainant TZ SSE Buyer, LLC

CERTIFICATE OF SERVICE

I certify that on June 18, 2025, a true and correct copy of the foregoing **Complainant's Supplemental Brief** was served by email on all counsel of record in accordance with 46 CFR Part 502.

Attorneys for Respondent:

JEFFREY/FENNEMAN LAW + STRATEGY, PLLC

Rebecca A. Fenneman

Eric C. Jeffrey

Kaya C. Massey

Nicholas L. Webb

RFenneman@JeffreyFenneman.com

EJeffrey@JeffreyFenneman.com

NWebb@JeffreyFenneman.com

KMassey@JeffreyFenneman.com

700 12th Street, NW Suite 700

Washington, DC 20005

202-904-2301

/s/ Michell Pacheco

Timothy R. Herman

R. Kevin Williams

Michell Pacheco Soto

therman@clarkhill.com

kwilliams@clarkhill.com

mpacheco@clarkhill.com

130 E. Randolph Street, Suite 3900

Chicago, IL 60601

Counsel for Complainant TZ SSE Buyer, LLC